

UCS675: Financial Markets and Portfolio Theory

L	T	P	Cr
2	0	2	3

Course Objective: Understanding various financial markets and their interrelationships

Syllabus

Banks and Financial Institutions: Types of financial institutions, evolution of financial system, flow of money, creation of money

Monetary System: Monetary authority, monetary policy framework, policy tools, comparison of different countries

Risk and Return: Meaning of risk, meaning of return, estimation of risk and return

Capital and Money Markets: Meaning, types, capital and money market instruments

Portfolio Theory: Meaning of portfolio, theoretical principles, choices, optimal weights, optimal portfolio choice, introduction to pricing models

Laboratory Work: To use the proprietary software in live international derivatives

1. Introduction to an international derivatives product
2. Introduction to technical analysis
3. Practice of analytical methods on the proprietary software
4. Introduction to evaluation methods

Recommended Prerequisites: Course – Finance, Accounting and Valuation;

Course Learning Objectives (CLO)

After the completion of the course, the student will be able to:

1. Explain the role of the financial system and the process of creation of money
2. Explicate various monetary policy tools
3. Explain relationship between risk and return
4. Explicate the types of capital markets and money markets including the market instruments
5. Apply the portfolio theory to choose an optimal portfolio

Reference Books:

1. Financial Markets and Institutions – Anthony Saunders & Marcia Millon Cornett
2. Ross, Westerfield, Jaffe & Jordan. Corporate Finance: Core Principles and Applications.